expected to become aware of the registrant's written response in a timely manner. Rule 14a-2(b)(9)(ii)(B) gives proxy voting advice businesses flexibility in determining how to achieve compliance with this requirement in the manner best suited to their business. They also have the option of relying on the safe harbor set forth in Rule 14a-2(b)(9)(iv), which involves adopting policies and procedures to provide clients a hyperlink to the registrant's written response once the registrant gives notice that a response has been filed. However, Rule 14a-2(b)(9)(ii)(B) does not mandate that specific approach as a condition of the exemption.[413]

We believe that the amendments, as modified from the proposal, are consistent with the First Amendment. In today's market, the proxy process represents the primary means by which registrants and their shareholders communicate to determine how the registrant governs itself. They exchange their respective views about the registrants' business operations and other registrant matters, and generally engage in discussions integral to the exercise of the shareholder franchise.[414] The Commission has a strong interest in ensuring that investors are able to obtain and evaluate information pertinent to proxy voting decisions before the vote is held.[415] The amendments are intended to facilitate the kind of robust discussion on which informed shareholder voting decisions depend in light of changing market conditions. Specifically, as discussed above, proxy voting advice businesses today are uniquely situated to influence the voting decisions of institutional investors, which hold an increasingly significant portion of shares in U.S. public

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[413] For example, we understand that some proxy voting advice businesses already provide access to the registrant's proxy filings, including any supplemental proxy materials, automatically through their electronic platform. This kind of approach would generally be consistent with the principle.

[414] *Pac. Gas & Elec. Co. v. Pub. Utils. Comm'n of Ca.*, 475 U.S. 1, 14 n.10 (1986).

[415] Communications Among Shareholders Adopting Release at 48277; Concept Release at 42983; *see also Business Roundtable*, 905 F.2d at 410 ("The goal of federal proxy regulation was to improve [communications with potential absentee voters] and thereby to enable proxy voters to control the corporation as effectively as they might have by attending a shareholder meeting.").

companies.[416] The provision of proxy voting advice by these businesses therefore implicates a fundamental concern of our proxy rules.[417] Yet, because a significant percentage of proxy votes are typically cast shortly after a proxy voting advice business delivers its advice, and because currently proxy voting advice is not required to be publicly filed, many voting decisions are made before registrants have a meaningful opportunity to engage with that advice—for example, to address any material factual errors or omissions, or to offer views with respect to the proxy voting advice business's methodologies or conclusions—and to make investors aware of their views in time for investors to benefit from such an exchange.[418]

As previously discussed, the Commission has occasionally adjusted the proxy rules based on market developments to promote informed proxy voting decision-making.[419] The developments described above have convinced us of the need to update the application of the proxy rules to proxy voting advice businesses to facilitate the kind of robust discussion that would be possible at a meeting before a vote occurs. But at this time we do not believe it is necessary to subject proxy voting advice businesses to the full panoply of information and filing requirements that apply to registrants when seeking proxy authority. While registrants must publicly file soliciting materials and disseminate them to all shareholders, the Commission believes its objectives with respect to proxy voting advice businesses can be achieved by more tailored and far less burdensome and intrusive means.

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[416] *See supra* note 18.

[417] *See supra* notes 6 through 17 and accompanying text.

[418] *See supra* note 373 and accompanying text.

[419] *See supra* notes 33-35 and accompanying text. Contrary to the suggestion of some commenters, the Commission's measured pursuit of a similar objective in the amendments adopted in this document does not contradict our past recognition that applying governmental filing requirements to every communication among shareholders and other parties on matters subject to a proxy vote would raise First Amendment concerns. *See supra* note 270 and accompanying text.

We are therefore adopting amendments that allow proxy voting advice businesses to continue to be exempt from the filing and information requirements of the proxy rules, conditioned on their inclusion in the proxy voting advice of the conflicts of interest disclosure specified in Rule 14a-2(b)(9)(i) and their adoption and public disclosure of policies and procedures specified in Rule 14a-2(b)(9)(ii).[420] These principles-based requirements are tailored to minimize the burden on proxy voting advice businesses, while still directly advancing the Commission's regulatory objectives.

Although some commenters argued that the proposed amendments discriminated based on viewpoint,[421] our decision to impose exemption conditions on proxy voting advice businesses is unrelated to their viewpoint or message. The conditions apply regardless of the position a proxy voting advice business takes on any particular matter, and regardless of whether voting advice is supportive or adverse to registrants or to others. Proxy voting advice is subject to our proxy rules because it constitutes a "solicitation" under the Exchange Act. We have tailored the application of those rules to accommodate the unique business model of proxy voting advice businesses while also accounting for the consequential role those businesses have come to play in the proxy process.[422] The amendments to the proxy rules that we adopt in this document—like the rules that apply to registrants and other interested parties under the comprehensive regulatory scheme

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[420] *See supra* Sections II.B.3; II.C.3.

[421] *See, e.g.*, letters from Better Markets (expressing concern that apprehensions regarding the accuracy of proxy voting advice businesses' advice have been driven by potentially self-interested corporate management that view proxy voting advice businesses as adversarial); CalPERS; Florida Board; Glass Lewis II; ISS; NYC Comptroller; New York Comptroller II; Public Citizen; Segal Marco II; TRP.

[422] *See SEC v. Wall Street Publishing Inst., Inc.*, 851 F.2d 365, 372 (D.C. Cir. 1988) ("Where the federal government extensively regulates a field of economic activity, communication of the regulated parties often bears directly on the particular economic objectives sought by the government, . . . and regulation of such communications has been upheld [as consistent with the First Amendment]."); *cf. Full Value Advisors, LLC v. SEC*, 633 F.3d 1101, 1109 (D.C. Cir. 2011) ("Securities regulation involves a different balance of concerns and calls for different applications of First Amendment principles.") (internal quotation marks omitted).

governing the proxy solicitation process—are intended to facilitate investor access, in a timely manner, to more accurate, complete, and transparent information and robust debate, as would occur at a meeting where shareholders are physically attending and participating. Indeed, the exemption conditions for proxy voting advice apply regardless of the content of the advice on any matter, and far from disapproving of the speech of proxy voting advice businesses, the Commission has recognized the important function proxy voting advice businesses serve in today's markets to some investors.[423]

D. Amendments to Rule 14a-9

1. Proposed Amendments

Rule 14a-9 prohibits any proxy solicitation from containing false or misleading statements with respect to any material fact at the time and in light of the circumstances under which the statements are made.[424] In addition, such solicitation must not omit to state any material fact necessary in order to make the statements therein not false or misleading.[425] Even solicitations that are exempt from the federal proxy rules' information and filing requirements are subject to this prohibition, as "a necessary means of assuring that communications which may influence shareholder voting decisions are not materially false or misleading."[426] This includes proxy voting advice that is exempt under Rules 14a-2(b)(1) and (b)(3). The Commission has previously stated that the furnishing of proxy voting advice, while exempt from the information and filing

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[423] *See supra* Section II.A.3.

[424] 17 CFR 240.14a-9. *See also* Exchange Act Release No. 34-1350, 1937 WL 29099 (Aug. 13. 1937) ("The purpose of [the Commission's proxy] rules is to prevent the dissemination to the security holders and to the general public of untruths, half-truths, and otherwise misleading information which would stand in the way of a fair appraisal of a plan upon its merits by the security holders.").

[425] 17 CFR 240.14a-9.

[426] *See* 1979 Adopting Release at 48942.

requirements, remains subject to the prohibition on false and misleading statements in Rule 14a-9.[427] We continue to believe that subjecting proxy voting advice businesses to the same antifraud standard as registrants and other persons engaged in soliciting activities, including those engaged in exempt solicitations, is appropriate in the public interest and for the protection of investors.

Indeed, the Commission recently issued guidance specifically addressing the application of Rule 14a-9 to proxy voting advice,[428] stating that "any person engaged in a solicitation through proxy voting advice must not make materially false or misleading statements or omit material facts, such as information underlying the basis of advice or which would affect its analysis and judgments, that would be required to make the advice not misleading."[429] To illustrate this point, the Commission gave a list of examples of types of information that a provider of proxy voting advice should consider disclosing in order to avoid a potential violation of Rule 14a-9.[430] This included the methodology used to formulate proxy voting advice, sources of information on which the advice is based, and material conflicts of interest that arise in connection with providing proxy voting advice, without which the advice could be misleading, depending on the specific statements at issue.[431]

Currently, the text of Rule 14a-9 provides four examples of things that may be misleading within the meaning of the rule, depending upon particular facts and circumstances.[432] These are:

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[427] *See* Concept Release at 43010.

[428] *See* Question and Response 2 of *Commission Interpretation and Guidance Regarding the Applicability of the Proxy Rules to Proxy Voting Advice*, Release No. 34-86721 (Aug. 21, 2019) [84 FR 47416 (Sept. 10, 2019)] ("Commission Interpretation and Guidance").

[429] *Id.* at 12.

[430] *Id.* The Commission also noted that some proxy voting advice businesses currently may be providing some of the disclosures described in the list of examples. *Id.* at n. 33.

[431] *Id.*

[432] Rule 14a-9 provides a note preceding the list of examples that reads: "The following are some examples of what, depending upon particular facts and circumstances, may be misleading within the meaning of this section." This note

- Predictions as to specific future market values;
- Material which directly or indirectly impugns character, integrity or personal reputation, or directly or indirectly makes charges concerning improper, illegal or immoral conduct or associations, without factual foundation;
- Failure to so identify a proxy statement, form of proxy and other soliciting material as to clearly distinguish it from the soliciting material of any other person or persons soliciting for the same meeting or subject matter; and
- Claims made prior to a meeting regarding the results of a solicitation.

The Commission proposed to amend this list of examples in Rule 14a-9 to include certain additional types of information that a proxy voting advice business may, depending on the particular facts and circumstances, need to disclose to avoid potentially violating the rule. As proposed, and consistent with the Commission's recent guidance, this included the proxy advice business's methodology, sources of information and/or conflicts of interest to the extent that, under the particular facts and circumstances, the omission of such information would be materially misleading.

In addition, the Commission proposed to amend Rule 14a-9 to address concerns that have arisen when proxy voting advice businesses make negative voting recommendations based on their evaluation that a registrant's conduct or disclosure is inadequate, notwithstanding that the conduct or disclosure meets applicable Commission requirements.[433] The Commission explained that, without additional context or clarification, some clients may mistakenly infer that the negative voting recommendation is based on a registrant's failure to comply with the applicable

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and the examples provided were adopted in their current form by the Commission in 1956. *See* Release No. 34-5276 (Jan. 17, 1956) [21 FR 577 (Jan. 26, 1956)], 1956 WL 7757.

[433] *See* Proposing Release at 66538 n.160.

Commission requirements when, in fact, the negative recommendation is based on the proxy voting advice business's determination that the registrant did not satisfy the specific criteria used by the proxy voting advice business. If the use of the criteria and the material differences between the criteria and the applicable Commission requirements are not clearly conveyed to proxy voting advice businesses' clients, there is a risk that some clients may make their voting decisions based on a misapprehension that a registrant is not in compliance with the Commission's standards or requirements. Similar concerns exist if, due to the lack of clear disclosure, clients are led to mistakenly believe that the unique criteria used by the proxy voting advice businesses were approved or set by the Commission.

Accordingly, the Commission proposed to add as an example in Rule 14a-9 of what may be misleading within the meaning of the rule, depending upon the particular facts and circumstances, the failure to disclose the use of standards or requirements in proxy voting advice that materially differ from relevant standards or requirements that the Commission sets or approves.[434]

2. Comments Received

Commenters were divided in their views about the proposed amendment.[435] Those in favor of the proposal thought it would have a beneficial impact, reasoning that it would tend to

[434] *See* note (e) to proposed Rule 14a-9. Examples of standards or requirements that the Commission approves are the listing standards of the national securities exchanges, such as the New York Stock Exchange (NYSE). The Commission supervises, and is authorized to approve rules promulgated by, the NYSE and other national securities exchanges pursuant to Section 19 of the Exchange Act.

[435] *See* letters from commenters supporting the proposal, *e.g.*, ACCF (asserting that the proposals will increase accountability); Axcelis; John D. Campbell, Vice President, Government Relations, Ball Corporation (Jan. 31, 2020) ("Ball Corp."); BIO; BRT; CCMC; CGC; Charter; Ecolab; ExxonMobil; FedEx; GM; IBC; NAM; Nareit; Nasdaq; SCG; James L. Setterlund, Executive Director, Shareholder Advocacy Forum (Feb. 3, 2020) ("Shareholder Advocacy"); TechNet. *But see* letters from commenters opposing the proposal, *e.g.*, Baillie Gifford; CalPERS; CII IV; CIRCA; Elliott I; Glass Lewis II; ISS; MFA & AIMA; PIAC II (although it agreed that proxy voting advice businesses should disclose material information relating to their methodology, sources of information, and conflicts of interest, the commenter indicated that it was satisfied with the disclosures currently provided and did not believe specific regulation on this point was necessary).

improve the quality of voting advice by making proxy voting advice businesses more accountable for any misleading statements in their advice[436] and incentivizing them to provide more robust information about their methods and sources so that their clients would be in a better position to assess the businesses' recommendations and make informed voting decisions.[437] Several such commenters voiced concerns that proxy voting advice businesses were not sufficiently transparent about their methodologies, models, and formulas used to generate their recommendations.[438] Some commenters also believed that proxy voting advice businesses do not adequately adjust their methodologies to take into account the unique circumstances of different companies and therefore more transparent disclosure of methodologies would help investors discern the extent to which voting advice may be based on a "one-size-fits-all" approach.[439]

Other commenters specifically approved of the proposed amendment's reference to a proxy voting advice business's use of standards that materially differ from relevant Commission standards or requirements.[440] These commenters were concerned that not all investors were fully

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[436] *See, e.g.,* letters from ExxonMobil (supporting the proposal's clarification that Rule 14a-9 applies to material information concerning a proxy voting advice business's methodology, sources of information, and conflicts of interest); GM.

[437] *See, e.g.,* letters from BRT ("[I]t is important that proxy advisors not omit the disclosure of information underlying the basis of their advice or which would affect its analysis and judgment"); ExxonMobil; Nasdaq ("We agree with the Commission that the amendments are in the public interest, promote investor protection, and help ensure that investors are provided the information they need to make fully informed voting decisions."); SCG.

[438] *See, e.g.,* letters from BRT ("Proxy advisors offer little transparency into their internal standards, procedures, and methodologies. Neither ISS nor Glass Lewis fully discloses the methodologies used to develop their voting recommendations"); CEC; FedEx; GM; NAM; Nasdaq; TechNet.

[439] *See, e.g.,* letters from CCMC (noting that proxy voting advice businesses have been criticized for "a one-size-fits-all approach of voting recommendations that ignores the unique characteristics and operations of individual companies and industries"); FedEx; Nasdaq; NAM; Nareit; TechNet (further noting that "one-size-fits-all" methodologies across different subject areas often fail to account for unique differences between companies).

[440] *See, e.g.,* letters from BRT; CCMC; GM ("[N]egative voting recommendations from a proxy advisor may not align with the Commission's requirements, which can mislead or cause confusion among proxy voters. We therefore believe that proxy voters should have the benefit of this additional context to ensure that they are fully informed and understand the standards employed by a proxy advisor when reviewing their voting recommendations."); Nareit; Nasdaq ("In Nasdaq's own experience, ISS has determined that a director was not independent under its criteria even though the director was independent under Nasdaq and SEC rules."); SCG.

aware when proxy voting advice businesses applied their own analytical standards that differed from the Commission's or other applicable regulatory standards.[441]

On the other hand, some commenters contended that, in general, the proposed amendment to Rule 14a-9 would heighten legal uncertainty and litigation risk for proxy voting advice businesses because it would broaden the concept of materiality and create a new source of liability for proxy voting advice businesses, the scope of which is not sufficiently clear.[442] Two commenters also suggested that the proposed amendment may be prohibited by the First Amendment.[443]

Commenters that opposed the proposed amendment's reference to a proxy voting advice business's use of standards that materially differ from relevant Commission standards or requirements argued that it was unnecessary and based on the flawed premise that clients are either unaware of, or lack the sophistication necessary to appreciate, the distinction between a company's failure to satisfy the particular analytical standards employed by a proxy voting advice

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[441] *See, e.g.,* letters from BIO (stating "that it is important for proxy voting advice businesses to clarify when a negative voting recommendation is based on the proxy voting advice business's own determination that a registrant's conduct or disclosure is inadequate, notwithstanding that the conduct or disclosure meets applicable SEC requirements"); BRT ("Business Roundtable member companies are concerned that, when making recommendations, proxy advisors rely upon information not included in the company's public SEC filings or on factors other than the actual regulatory requirements to which companies are subject. For instance, proxy advisors have their own guidelines for determining the independence of directors. This has resulted in situations where a proxy advisor recommends against a director's election because it decided that the director is not independent under its standards, despite the fact that the company's board of directors—carrying out its fiduciary duties— determined that the director in question was independent under the Commission's requirements, the company's stock exchange listing rules and its corporate governance guidelines."); Charter; SCG (asserting that proxy voting advice businesses "apply standards or policies that differ from SEC and/or stock exchange listing requirements frequently enough that it strains credulity to believe that the reasonable investor always understands whether a voting recommendation reflects (non)compliance with existing rules/regulations/standards or simply proxy advisor judgment").

[442] *See, e.g.,* letters from Carl C. Icahn (Feb. 7, 2020) ("C. Icahn"); CalPERS; CIRCA; Elliott I; Glass Lewis II (asserting that the Commission does not adequately explain how, for example, a failure to disclose information regarding "use of standards that materially differ from relevant standards or requirements that the Commission sets or approves" could mislead shareholders); MFA & AIMA.

[443] *See* letters from CII IV; ISS. Our clarification below that differences of opinion are not actionable under the final amendment to Rule 14a-9 resolves these constitutional concerns.

business and a company's failure to comply with relevant regulatory standards.[444] Commenters made the point that most clients are well aware of such differences and often maintain custom policies that are more rigorous than relevant regulatory standards and require the proxy voting advice business to apply such policies when preparing their proxy voting advice.[445] Moreover, commenters stated that in many cases clients hire proxy voting advice businesses precisely because they are aware and approve of these businesses using certain standards that exceed applicable regulations.[446] In addition, other commenters asserted that the proxy voting advice businesses' disclosures about the use of differing standards were already sufficiently clear.[447]

Finally, some commenters recommended modifications to the proposal that would have added a number of specific examples to the list in Rule 14a-9 of information that may be material and needs to be disclosed in certain circumstances.[448] Others requested further clarification on

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[444] *See, e.g.,* letters from CalPERS ("We think it would be rare for the professionals that actually use proxy voting advice to make such a mistaken inference."); CII IV; Glass Lewis II.

[445] *See, e.g.,* letters from CalPERS ("Existing clients … already know when proxy voting advice businesses produce their own guidance as opposed to report on the minimal requirements of the SEC."); CII IV; Glass Lewis II.

[446] *See, e.g.,* letter from PIAC II ("Proxy advisors are paid to make recommendations based on governance best practices rather than legal or regulatory minimums and PIAC members expect the standards of proxy advisors to exceed those minimums.").

[447] *See, e.g.,* letters from CalPERS ("[The Proposing Release] provides examples highlighting a problem that does not exist in reality because proxy voting advice businesses already distinguish their advice from SEC guidance … Competent lay people doing a minimal amount of research will find that proxy advisors routinely inform clients about where the standards come from because clients want to know."); CII IV (noting that the Commission did not produce examples of research reports to support its assertions in the Proposing Release).

[448] *See, e.g.,* letters from BRT; CCMC ("[W]e would expand the 'relevant standards or requirements' to also include those set by any relevant stock exchange. As another example, we would also list a proxy advisor's failure to disclose whether a registrant disputes any findings in the proxy advisor's report or whether a proxy advisor diverges from its own publicly disclosed guidelines."); Exxon Mobil (suggesting that the rules should also address proxy voting advice that is "not designed to maximize shareholder value, like SRI specialty reports" and require "risk factor" style disclosures about the value of an investment when a proxy voting advice businesses applies a standard other than shareholder value); Nareit (requesting the Commission to expand the list to require disclosure "when voting is predicated on an advisory firm's standard that materially differs from relevant statutory requirements of the state in which the issuer is chartered"); Nasdaq; TechNet.